

RBI Follow-up Circular: Strict Compliance Mandate

RESERVE BANK OF INDIA

Department of Supervision, Central Office, Mumbai

Circular No: RBI/2026-27/DOS.CO.108

Date: July 6, 2026

To: The Managing Directors / Chief Executive Officers of all Commercial Banks, Payment Banks, and NBFCs

Subject: Strict Compliance Required - Implementation of Cloud Storage Modernization and AI Risk Frameworks

Dear Sir/Madam,

1. Please refer to our earlier circulars regarding the mandatory upgrade of Core Banking cloud infrastructures and the integration of AI/ML predictive models for Bank Risk Management.
2. It has been observed during recent preliminary audits that several regulated entities have not yet initiated the migration from legacy on-premise/block storage to secure Cloud Object Storage, nor have they deployed the required AI anomaly detection pipelines.
3. **The Reserve Bank of India strictly directs all banks to follow the previously issued technical mandates without deviation.** Non-compliance or delays will attract severe supervisory action, including restrictions on onboarding new customers.

Mandatory Checklist for Immediate Compliance:

- **Cloud Storage Modernization:** Immediate transition of Customer KYC and Document Storage to Multi-Region Cloud Object Storage (e.g., AWS S3) with **Object Versioning** enabled to prevent data loss.
- **Data Lifecycle & Archival:** Strict adherence to automated lifecycle policies, moving logs older than 90 days to cold storage tiers.
- **AI-Driven Risk Systems:** Complete deployment of ML classification algorithms (e.g., Random Forest, XGBoost) for real-time NPA forecasting and credit risk scoring.

- **Security Controls:** Immediate enforcement of IAM roles and API security for all containerized microservices.

Action Required:

All banks are required to conduct a comprehensive internal audit of their current architectural state against these RBI mandates. A digitally signed declaration of compliance, certified by the Chief Information Security Officer (CISO) and the Chief Risk Officer (CRO), must be submitted to the RBI via the XBRL portal no later than **August 15, 2026**.

Yours faithfully,

(Signed)

Principal Chief General Manager
Department of Supervision